

ECB is on track for a June hike

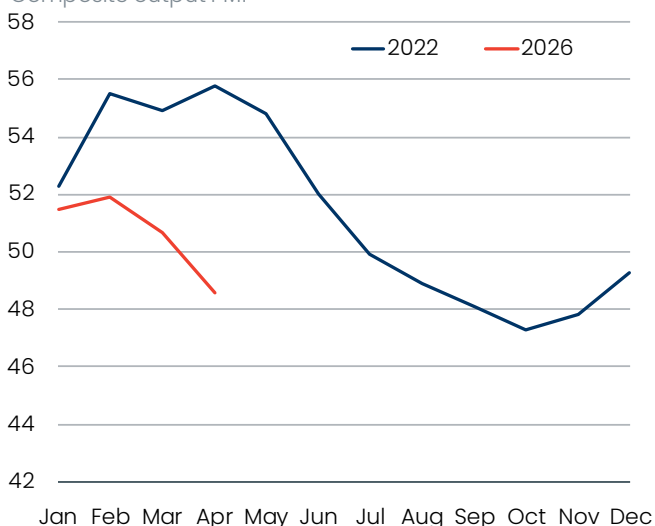
- The April ECB meeting further reinforces our view that the ECB will not be able to look through the current adverse energy price shock. ECB president Lagarde highlighted that rate hikes were discussed, but that additional information by June would allow a more informed decision than today. So, we continue to think that unless the conflict eases quickly, rate hikes are starting in June.
- The ECB is likely to stay in a reactive mode even after starting rate hikes. The council will remain focused on dampening the passthrough from higher inflation to wages and keeping a lid on inflation expectations. But the lack of second round effects or a self-propagating inflation process as well as the benign starting point for inflation mean that the council can await the evidence and while also considering the risks to growth.
- We continue to expect two 25bps rate hikes in June and July, which is consistent with the ECB's baseline forecast. But risks are tilted towards more tightening. Lagarde insisted that the economy was already moving away from the baseline as the conflict was dragging on. She also saw the fiscal policy response as not targeted enough, which could add to second round effects and require a more forceful policy response.

The April ECB meeting unfolded as [expected](#). The ECB signalled that it is still in a wait-and-see mode given the uncertainty around the conflict, but it also all but confirmed that it is on track to begin tightening policy at its next meeting in June. That is consistent with our baseline forecast of two hikes in June and July. Therefore, we are not planning changes in our upcoming May forecast update.

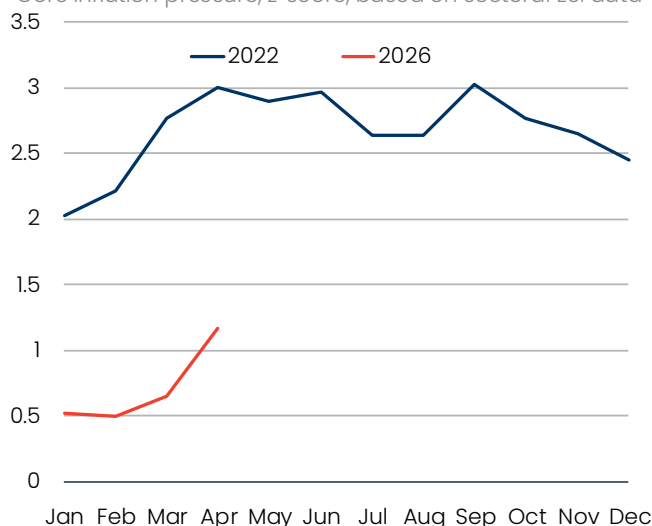
Chart 1: The ECB is facing a difficult growth-inflation trade-off

Eurozone: Growth-inflation trade-off in 2022 and 2026

Composite output PMI



Core inflation pressure, z-score, based on sectoral ESI data



Sources: Oxford Economics, Haver Analytics, S&P Global

The ECB clearly telegraphed that it is ready to start hiking policy rates at the next meeting in June. ECB president Christine Lagarde confirmed that the council discussed rate hikes at today's meeting, but that in the end the council made the unanimous and "informed decision on the basis of yet insufficient information" to stay put. Lagarde emphasised that much more information would be available in six weeks, and that this will enter updated baseline forecasts and scenarios.

Essentially, the ECB thinks it can afford to wait-and-see a little longer given the heightened uncertainty about the energy price outlook as well as the benign starting position for inflationary pressures ([Chart 1](#)). However, it was also clear that only a rapid de-escalation of the conflict and a sharp rise in energy exports from the Middle East would stop the council from hiking. Lagarde made the point that even an immediate end of the conflict wouldn't prevent significant inflationary effects from damaging the economy.

The scale of the upcoming tightening remains highly uncertain, though. Lagarde clarified again that the ECB's baseline forecast from March was already predicated on two rate hikes happening, in line with our baseline. And for now, the ECB assessed the hard growth and inflation data as still broadly in line with its own March baseline forecast.

However, Lagarde also said that the "we are certainly moving away from the baseline" ([Chart 2](#)). Implicitly she referenced that the conflict keeps on dragging on with no clear sign of easing soon, which will continue to put upward pressure on energy prices, pushing the economy closer to the adverse scenario. In that case, additional tightening would likely be necessary given the ECB's single mandate. Indeed, markets are pricing closer to three rate hikes for 2026.

Chart 2: Energy markets price a higher-for-longer energy price scenario

Eurozone: Synthetic energy price index

2019=100, weighted average of Brent (in EUR), TTF and German power futures using CPI basket weights



Sources: Oxford Economics, Haver Analytics

Despite that hawkish tone, we think the ECB will remain in a reactive mode even after rate hikes commence. For one, a sudden end of the conflict could quickly reverse much of the inflation pressure. Our own baseline view remains that energy flows will begin bouncing back in May and June. In addition, Lagarde stated that as of now the ECB saw no signs of second-round effects, which the ECB will be keen to avoid. Lagarde referenced the ECB's corporate telephone survey and the lack of plans to hike wages. Lastly, we think the ECB may be underestimating the economic damage. The economy only grew 0.1% q/q in Q1, below the 0.3% the ECB had pencilled in. And all the survey evidence for April points to a further deterioration at the start of Q2, even pointing to the risks of

contractions and a sharp slowing of the labour market. Both facts would reduce the odds of the energy price spike causing significant second round effects.

On balance, we don't think we received any additional information today that would warrant a change to our policy call. We continue to think that two rate hikes strike the right balance between containing second-round effects on inflation and limiting the damage from rate hikes to the economy.

The risks are tilted to more tightening, though. Upside risks to energy prices dominate in a prolonged war scenario and are likely to result in significant second round effects. It is also likely that we would see additional, inflationary supply chain disruptions. Moreover, governments would likely embark on a much stronger fiscal policy response that would go counter to the ECB's tightening. Indeed, while Lagarde argued that at 0.1% of GDP, the current response was too small to matter, she also emphasised that current policy responses weren't targeted enough, risking putting additional pressure on inflation.